

Activity 05 · Capital budgeting and investment suitability

Finance for Non-Finance Managers | C525 | Day 2 · 55 minutes

Scenario

A fictional operations team can choose one of two mutually exclusive projects. Cash flows are end-of-year SGD thousands; Year 0 is the initial outlay.

Files supplied

Open **mock-data.xlsx**. Source tabs contain fictional data; use the **Your Analysis** tab or add calculation tabs. Work in pairs, then explain your decision to the class.

Instructions

1. Calculate cumulative undiscounted and discounted cash flows for each project. State simple and discounted payback, including the fraction of the recovery year when applicable.
2. Calculate NPV with Year 0 outside the NPV function or by summing each cash flow discounted by its own period. Calculate profitability index.
3. Compare the projects against the stated decision inputs. If NPV and payback rank them differently, explain which measure you would give more weight and why.
4. Test a 12% discount rate and describe whether your recommendation changes.

Submission and checks

Submit the completed model and a short investment recommendation. Show the discount rate and all cash-flow timing assumptions.

All company names, figures and benchmarks in this activity are synthetic teaching data. This is classroom practice, not a graded assessment or investment advice.